18. ALLOWANCE FOR CREDIT LOSSES

In millions of dollars	**2009**	2008 [1]	2007 [1]
Allowance for loan losses at beginning of year	**$ 29,616**	$ 16,117	$ 8,940
Gross credit losses	**(32,784)**	(20,760)	(11,864)
Gross recoveries	**2,043**	1,749	1,938
Net credit (losses) recoveries (NCLs)	**$(30,741)**	$(19,011)	$ (9,926)
NCLs	**$ 30,741**	$ 19,011	$ 9,926
Net reserve builds (releases)	**5,741**	11,297	6,550
Net specific reserve builds (releases)	**2,278**	3,366	356
Total provision for credit losses	**$ 38,760**	$ 33,674	$ 16,832
Other, net [2]	**(1,602)**	(1,164)	271
Allowance for loan losses at end of year	**$ 36,033**	$ 29,616	$ 16,117
Allowance for credit losses on unfunded lending commitments at beginning of year [3]	**$ 887**	$ 1,250	$ 1,100
Provision for unfunded lending commitments	**244**	(363)	150
Allowance for credit losses on unfunded lending commitments at end of year [3]	**$ 1,157**	$ 887	$ 1,250
Total allowance for loans, leases, and unfunded lending commitments	**$ 37,190**	$ 30,503	$ 17,367

(1) Reclassified to conform to the current period's presentation.

(2) 2009 primarily includes reductions to the loan loss reserve of approximately $543 million related to securitizations, approximately $402 million related to the sale or transfers to held-for-sale of U.S. Real Estate Lending Loans, and $562 million related to the transfer of the U.K. Cards portfolio to held-for-sale. 2008 primarily includes reductions to the loan loss reserve of approximately $800 million related to FX translation, $102 million related to securitizations, $244 million for the sale of the German retail banking operation, $156 million for the sale of CitiCapital, partially offset by additions of $106 million related to the Cuscatlán and Bank of Overseas Chinese acquisitions. 2007 primarily includes reductions to the loan loss reserve of $475 million related to securitizations and transfers to loans held-for-sale, and reductions of $83 million related to the transfer of the U.K. CitiFinancial portfolio to held-for-sale, offset by additions of $610 million related to the acquisitions of Egg, Nikko Cordial, Grupo Cuscatlán and Grupo Financiero Uno.

(3) Represents additional credit loss reserves for unfunded corporate lending commitments and letters of credit recorded in *Other liabilities* on the Consolidated Balance Sheet.